Onward Technologies Ltd

Concall Tracker · Q2 2027 · continues the Q1-2027 report

1. Snapshot

Engineering research and development (ER&D) services firm. Industrial, transport and healthcare product companies in the US and Europe hire its engineers, mostly in India (Pune, Chennai, Bengaluru, Hyderabad), to design their products: mechanical design, embedded software and digital engineering. It has no Indian customers and is paid largely by the hour. All figures are consolidated, as management reports them.

Number	Value	What it means
Q2 FY27 revenue	Rs 170.2 cr	July to September 2026 sales, the highest ever: up 22.4% on last year and 13.9% on the June quarter (17.7% and 13.5% in constant currency).
Q2 FY27 EBITDA	Rs 26.6 cr, 15.6% margin	Operating profit up 33.7% on last year, and a record margin. It includes a Rs 2.9 cr UK R&D tax credit for all of FY26, but analysts on the call noted margin still rose on the June quarter without it.
Q2 FY27 profit after tax	Rs 16.8 cr	Up 41.2% on last year. After Q1's year-on-year dip, profit growth is back ahead of sales.
FY26 (full year)	Rs 550 cr revenue, 13.2% margin	A record year: revenue up 10.5%, operating profit up 60.9% (from the prior report).
Customers billing $1 million+	18	Up from 16 a year ago, showing growth inside existing accounts.
Team	About 3,000 people	Net 430-plus hired in six months, after years at about 2,500. Hiring has turned from flat to fast.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY24 → Q4 FY26 (11 calls)	May 2024 → May 2026	Carried forward from the Q1-2027 report
Q1 FY27 (boundary call)	16 Jul 2026	Carried forward from the Q1-2027 report
Q2 FY27	16 Oct 2026	Newly deep-read in full ★

Only the new Q2 FY27 call was read in full this quarter. The three-year backstory comes from the prior report, which read twelve calls from May 2024 to July 2026.

Latest concall highlights: Q2 FY27 (16 Oct 2026)

- Record revenue Rs 170.2 cr, up 22.4% on last year; EBITDA up 33.7% with a record 15.6% margin; profit up 41.2%. Management credits higher offshore utilisation, productivity and focus on strategic customers.
- Guidance raised: FY27 revenue growth now 15-18% with an EBITDA margin of 13.8-14.3%. Management said this already allows for the new US visa/PERM rules.
- A 3-year digital engineering contract with a global construction and mining equipment leader was renewed at about Rs 44.5 cr, over 70% more than the last term, and awarded whole instead of in six-monthly pieces.
- Net 430-plus engineers hired in six months; a fourth design centre opened in Pune and should be full by November/December, with more seats leased. A few hundred more people to be added in Q4.
- Tone: confident. Demand is strong in AI data-centre work (power management, cooling) and industrial customers; 'revenue is not the challenge... execution is the challenge'. Unbilled receivables rose on fast ramp-ups and late POs; management says that normalises in Q3-Q4.

Business mix & capacity

Domestic vs export: Export only: 'Onward Technologies only has U.S. and Europe customers, we have no India customers.' North America brings the majority of revenue and drove this quarter's jump.

Capacity use: For a services firm, capacity is people and desks. Design centres are filling up: the new Pune centre should be full by November/December and more seats are leased. Hiring is now the limit, not demand.

Since our last report

Builds on the Q1-2027 report (boundary call 16 Jul 2026). Prior verdicts: trigger YES, consistency MAYBE. That report had no checkpoints box, so its promises to watch are scored below.

Prior read	What we said then	What the new call shows	Movement
Trigger (YES)	Operating leverage is real but stalled in Q1: Rs 16 cr more revenue gave about Rs 1 cr more operating profit	Margin a record 15.6%; operating profit up 33.7% on 22.4% sales growth	Confirmed
Consistency (MAYBE)	Steady story, but FY25 miss, a margin goal never reached and selective framing in Q1	Guidance raised with the new number given plainly; the one-off UK credit was flagged separately	Improving
Margin to mid-to-high teens	Best was 13.2% (FY26); 12.3% in Q1	15.6% in Q2 (with a one-off credit); full-year guide 13.8-14.3%	Improving
Order book covers FY27	FY27 order book already above all of FY26 revenue	Growth guidance raised to 15-18%; big renewal at Rs 44.5 cr	On-track
Client concentration	Top 25 clients 87-88% of revenue	Not updated; growth is still from existing accounts	Unchanged

Promise-to-watch results: Delivered (margin improving) | Delivered (order visibility) | Partly (concentration not addressed). Trigger verdict unchanged at YES. Consistency upgraded from MAYBE to YES: the quarter delivered on the prior call's confidence, guidance was raised in plain numbers, and the one-off credit was reported openly.

3. Earning Trigger thesis

The trigger is operating leverage in an ER&D services firm: selling more, higher-value work to the same set of mostly North American customers from offshore Indian delivery centres. After a stall in Q1, Q2 showed it again: sales up 22% and operating profit up 34%, with a record margin. Demand from AI data-centre related engineering (power, cooling) is adding to it. The constraint now is hiring and desk space fast enough.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Operating leverage via offshore delivery	Higher utilisation and offshore leverage drive margin	Record 15.6% margin; FY27 margin guide 13.8-14.3%	FY27	Strong	↑ improving: Q1 stall reversed
Account mining	Grow existing customers toward $10 million each	$1m+ customers 16 to 18; Rs 44.5 cr renewal up over 70%	Multi-year	Moderate	↑ improving
AI data-centre engineering demand	Bidding on large RFPs in power management and cooling	Named as a driver of raised guidance; not separately disclosed	FY27-FY28	Unproven	unchanged
Hiring and capacity	Few hundred more people in Q4; new Pune centre	Net 430-plus hired in six months	Now	Moderate	new

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Net cash already; not discussed.
New business	Yes	AI data-centre infrastructure engineering, power management and cooling opportunities; Chennai AI lab running by Q4 or early 2027 (Oct 2026).
Margin up	Yes	'EBITDA grew 33.7%... margins expanding to all-time high at 15.6%' (Oct 2026).

Trigger type	Yes/ No	What was said (date)
New management	No	Same MD, Jigar Mehta.
New capacity	Yes	Fourth design centre opened in Pune in October 2026; more seats leased (Oct 2026).
Big orders	Yes	3-year engagement renewed at about Rs 44.5 cr with a global construction and mining equipment leader (Oct 2026).
Turnaround	No	No loss or recovery story.
Promoter buying	No	Not discussed this quarter; promoters stayed out of the earlier buyback.

The single concrete driver: US and European industrial customers are giving Onward bigger offshore engineering programs, with margins rising as Indian centres fill up.

3c. Margin bridge

EBITDA margin is 15.6% now versus about 14% a year ago. Higher offshore utilisation, productivity and focus on a few customers drove it; Rs 2.9 cr of it is a once-a-year UK R&D credit for FY26 (one-off), but the underlying margin also rose (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY26 (carried forward)	Exit domestic staffing; double-digit margin; buyback with promoters out; Chennai expansion	All done; FY25 growth guidance missed, FY26 beat	Mostly delivered
Several calls	Mid-to-high-teens EBITDA margin	15.6% in Q2 FY27 with a one-off credit; guide 13.8-14.3% for FY27	Partly
Jul 2026	FY27 order book already above all of FY26 revenue; strong year	Q2 revenue up 22%; guidance raised	Delivered
Oct 2026	FY27: 15-18% revenue growth, 13.8-14.3% EBITDA margin	H1 on track	Too early
Oct 2026	Unbilled receivables normalise in Q3-Q4	To be seen next quarter	Too early

Narrative drift: No drift. The same plan (offshore, mine existing accounts, grow profit faster than revenue) has run for three years under one voice. This quarter the company also gave numeric guidance and raised it, which makes it easier to hold to account.

5. Bottom line

Durable earning trigger? → YES

vs last quarter: unchanged. Q2 answered the prior report's worry: operating leverage came back strongly, with record revenue and margin and guidance raised. AI data-centre work adds a new leg. Client concentration and US visa rules remain the risks.

Management consistent? → YES

vs last quarter: upgraded. The strong tone of the July call turned into a record quarter, the new targets are stated plainly, and the one-off UK credit was reported separately rather than buried. The older FY25 miss and the long-running margin goal keep this from being spotless.

6. Checkpoints for next quarter

- FY27 revenue growth guidance of 15-18% is held or raised
- EBITDA margin stays above 13.8% without the one-off credit
- Unbilled receivables come down in the December quarter

This is not investment advice. Do your own due diligence.